

Table 15.3 Cumulative Failure Rates

Maximum Price Decline (%)	Bull Market	Bear Market
5 (breakeven)	202 or 14%	19 or 7%
10	298 or 34%	34 or 19%
15	285 or 53%	37 or 32%
20	214 or 67%	30 or 43%
25	163 or 78%	41 or 58%
30	102 or 85%	27 or 68%
35	73 or 90%	28 or 78%
50	124 or 98%	43 or 93%
75	25 or 100%	19 or 100%
Over 75	2 or 100%	0 or 100%

One way to use the table is with the measure rule. Later, in Trading Tactics I discuss the rule, but suppose it predicts the decline of a stock from \$20 to \$15 after the breakout. That five-point drop is 25% of the price of a \$20 stock. How likely is it that price will actually decline that far? [Table 15.3](#) shows the answer. In bull markets, 78% will fail to drop more than 25%, and in bear markets, 58% will fail to make it down that far. Thus, in both markets, price is unlikely to reach the target. That's an average, so your results will vary.

[Table 15.4](#) shows breakout-related statistics for BARR tops.

Breakout direction. By definition, BARR tops have downward breakouts. A breakout occurs when price closes below the up-sloping trendline at the bottom of the pattern.

Yearly position, performance. Where do the best performing BARR tops break out (and I'm not talking about acne)? The star performers have breakouts near the yearly low. To put it another way, avoid trading BARR tops with breakout prices within a third of the yearly high. They perform worst.

Pullbacks. A pullback occurs almost two-thirds of the time, and it takes about 2 weeks for the stock to return to the breakout price. That means price